

companies to use the brand name of ET&T, charging 7 per cent of kit cost for brand promotion.

Member companies produced the TVs and sold them in their areas. ET&T brand of B&W sets shared 40 per cent of the national market. Colour TVs had 20 per cent share.

We can replicate this model by creating clusters of independent SMEs manufacturing and selling the same product line in various states and regions in the country. Any consumer product is suitable for such a cluster approach. This is quite different from franchise model.

Control misuse of low-cost loans/funds

Whenever such efforts are made, all representative bodies of industries seek low interest rates and subsidies on capital equipment. Often these measures are misused and become open-ended cash assistance by the government without meeting the desired objective. Simple easily-auditable measures could prevent misuse of such loans and advances.

Enterprises that receive such loans and advances be banned to give loans to any other individual or company, or invest in stock markets, or use it anywhere else than as working capital for the core activity. They should not use the funds to give advances to anyone except short-term advances to suppliers for not exceeding three months. The companies must get their accounts audited from independent chartered accountants with special attention to such loan and subsidy utilisation.

Income tax concession for employment

Consider two profitable small or medium enterprises with annual sales of, say, 500 million (50 crore) rupees each, one (Unit A) manufacturing products from raw materials and the other (Unit B) marketing branded goods. Unit A will need, say, 150-200 employees for the business while Unit B doing trading business will probably manage with 10 to 50 employees.

Both A and B today pay the same

income tax on their earnings. Which company out of the two the government wants to encourage? Obviously: Unit A. So why not give, say, 50% tax exemption to Unit A since that creates more employment? Beneficial aspects are:

1. This way we encourage only profitable enterprises and not the inefficient loss-making ones.

2. A simple audit of the number of full-time employees working for the company for a continuous period of, say, nine months needs to be considered while scoring level of employment per ₹ 10 million sale.

There are more ways to support the industry where beneficiary industry or related bureaucrats can't loot the nation. ●

The author was chairman of the Electronics Commission, government of India and advisor (electronics) to PM Rajiv Gandhi from 1983 to 1990. In 1992, P.M. Narasimha Rao appointed him as chairman of the committee that set guidelines for the electronic media privatisation. In 2003, Mrs. Sushma Swaraj appointed him as chairman of Media Research Committee of the I&B Ministry. The views expressed here are his personal

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